

ELEMENTS

CCI mainly has three elements. The first element is the CCI line itself i.e. the oscillator that revolves around zero. The next element is the timeframe that we will use for our analysis. We can change the timeframe for CCI based on our analysis and strategy. Long-term CCI works great to generate timely buy and sell signals. At times, they work better than short-term CCI. The last element is the oversold and overbought threshold level. We will determine the thresholds based on past reversals.

TRADING SIGNALS

Whenever CCI intersects the zero level and turns positive from negative, it can be said that this is the start of an uptrend and this acts as a buy signal. Similarly, when the CCI becomes negative from positive, this can be taken as a symbol to sell or short. This is one way to get buy and sell signals using CCI. The next method is to understand the overbought and oversold assets and use a different indicator to determine the entry and exit level. We will use the pre-determined levels from looking at past price behavior and CCI reversal levels.

SUITABILITY

CCI were mainly introduced for commodities and currencies. However, they can also be used for indices and large-cap stocks. These shall be avoided for mid-cap and small-cap stocks.